

INDEPENDENT TEXTILE COMPLIANCE AUDIT — AL-MADINA SPORTSWEAR (PVT) LTD

Audit Reference: EXP-AMS_SKL_004-20260510 Audited by CertVerify Pakistan (Pvt) Ltd. Date of issue: 2026-05-10

Legal entity	Al-Madina Sportswear (Pvt) Ltd
City / Site	Sialkot, Punjab, Pakistan
Factory ID	ams_skl_004
Primary products	Sportswear, Athleisure, Performance knits
Audit scope	EU CBAM (Reg 2023/956), UK Modern Slavery Act 2015 §54, EU CSDDD (Dir 2024/1760), ISO 14001 surveillance, SA8000 social compliance, OEKO-TEX, REACH SVHC effluent screening
Audit method	On-site inspection, sample chain-of-custody, effluent grab samples (3 points), HR log review, management interview

1. Certifications & certification status

Certification	Status	Valid until	Issuer	Notes
SA8000	VALID	2027-02-28	SAI	Surveillance audit on file. Valid for full scope of EU/UK shipments.
ISO 14001	VALID	2027-07-15	CertVerify Pakistan	Surveillance audit on file. Valid for full scope of EU/UK shipments.
GOTS	EXPIRED	2025-11-30	Control Union	Expired 2025-11-30; auditor recommends immediate re-audit booking.
OEKO-TEX	VALID	2026-12-10	OEKO-TEX Institute	Surveillance audit on file. Valid for full scope of EU/UK shipments.
BSCI	MISSING	—	—	Not held. Required by at least one buyer's commercial Code of Conduct.

2. Export profile and buyer concentration

Total annual export value reported by management: **PKR 520.00 crore**. Breakdown by purchasing buyer (FY 2025):

Buyer	Annual order value (PKR)	Share of total	Buyer HQ jurisdiction
NordStyle Group	PKR 210.00 crore	40.4%	EU (Sweden)
EuroThread SA	PKR 160.00 crore	30.8%	EU (Spain)
M&S;	PKR 90.00 crore	17.3%	UK
BritMart Retail	PKR 60.00 crore	11.5%	UK (Ireland-listed, UK-regulated)

3. Self-reported compliance claims (factory submission)

The following statements were provided by Al-Madina Sportswear (Pvt) Ltd's compliance team in the quarterly self-report (source filename in parentheses). These statements are recorded verbatim and used as the LEFT-HAND side of the contradiction check in Section 5.

- *"GOTS certification current and under surveillance"* (source: *almadina_compliance_q1_2026.pdf*)
- *"Factory is ISO 14001 compliant — effluent fully within legal limits"* (source: *almadina_compliance_q1_2026.pdf*)
- *"Chemical discharge meets EU REACH standards"* (source: *almadina_compliance_q1_2026.pdf*)
- *"Average weekly working hours: 49"* (source: *almadina_compliance_q1_2026.pdf*)
- *"Modern Slavery Act statement published 2026"* (source: *almadina_compliance_q1_2026.pdf*)

4. Independent audit evidence (third-party measurements)

Metric	Measured value	Unit	Date	Source document
water effluent discharge	11.5	ppm	2026-03-18	certverify_water_audit_mar26.pdf
weekly working hours	62	hours	2026-03-22	certverify_labour_audit_mar26.pdf
overtime hours	18	hours/week	2026-03-22	certverify_labour_audit_mar26.pdf
co2 per unit	3.9	kgCO2/garment	2026-03-31	carbon_calc_q1_2026.csv
lead in dyes	78.0	ppm	2026-03-10	chemical_lab_report_q1_2026.pdf
supply chain due diligence report	DRAFT	—	2026-04-05	internal_governance_q1.pdf

5. Auditor cross-check (claim vs evidence)

The cross-check below compares Section 3 (self-reported claims) against Section 4 (independent measurements). Any inconsistency triggers a recommended remediation in Section 6.

#	Self-reported claim (source)	Audit evidence (source)	Confidence	Verdict
1	Factory is ISO 14001 compliant — effluent fully within legal limits [almadina_compliance_q1_2026.pdf]	water_effluent_discharge = 11.5 ppm (EU REACH/CBAM limit: 8 ppm) [certverify_water_audit_mar26.pdf]	0.91	CONTRADICTION
2	Average weekly working hours: 49 [almadina_compliance_q1_2026.pdf]	Independent labour audit recorded 62 hrs/week [certverify_labour_audit_mar26.pdf]	0.88	CONTRADICTION
3	(no CBAM filing claim in self-report) [—]	No CBAM declarant registration or quarterly filing record located in the audit evidence pack [(audit evidence pack)]	0.95	GAP
4	(no published-status claim in self-report) [—]	CSDDD narrative status = DRAFT as of 2026-04-05 [internal_governance_q1.pdf]	0.90	GAP

Finding 1 rationale. Self-report asserts compliance with effluent limits; lab measurement exceeds 8 ppm REACH ceiling by 50%.

Finding 2 rationale. Self-reported weekly hours differ from third-party measurement by more than 4 hours.

Finding 3 rationale. Factory exports to EU; CBAM scope applies; no filing record exists. This is a regulatory GAP rather than a CONTRADICTION because the factory has not made a conflicting positive claim.

Finding 4 rationale. Directive (EU) 2024/1760 transposition requires published due-diligence narrative; currently in DRAFT state.

6. Auditor risk summary and recommended remediation

Compliance score (0-100)	38
Risk level	CRITICAL
Estimated orders at risk	PKR 52.00 crore
Buyers materially affected	NordStyle Group, EuroThread SA, M&S;
Audit issued by	Independent third-party (this report)

CRITICAL. Al-Madina Sportswear (Pvt) Ltd presents multiple critical compliance failures that jeopardise continued shipment to EU and UK buyers. The primary risks are: (i) GOTS certification expired November 2025 — six months lapsed without renewal, affecting organic-cotton product lines shipped to NordStyle Group and M&S; (ii) no EU CBAM declarant registration or quarterly filing exists despite 71% of exports going to EU jurisdictions (NordStyle Group + EuroThread SA); (iii) water effluent at 11.5 ppm exceeds the EU REACH SVHC ceiling of 8 ppm by 44%, contradicting the factory's self-reported claim of REACH compliance; (iv) weekly working hours measured at 62 exceed the SA8000 60-hour cap and contradict the self-reported figure of 49 hours — a discrepancy of 13 hours; (v) lead-in-dyes at 78 ppm exceeds the OEKO-TEX Standard 100 limit of 50 ppm; (vi) the EU Corporate Sustainability Due Diligence Directive (CSDDD) supply-chain narrative remains in DRAFT status. BSCI certification is not held, which is required by BritMart Retail's Code of Conduct. Without immediate remediation, estimated revenue at risk is PKR 52 crore across NordStyle Group, EuroThread SA, M&S, and BritMart Retail order books. The auditor recommends a hold on all EU/UK shipment authorisations until the GOTS renewal audit is completed, CBAM registration is filed, and effluent remediation is verified by re-sampling.

This report was generated for the AISeekho 2026 Google Antigravity Hackathon submission (ExportIQ). It contains realistic but synthetic data for the named factories.